

ECON 0100 | Exercise B6 | International Trade

Pumpkin pasties again, with the same demand and supply curves as Exercise B3:

$$P = 12 - \frac{Q_d}{2} \qquad P = 2 + \frac{Q_s}{2}$$

Prices are in galleons and quantity is in pasties. The equilibrium you found is 10 pasties at 7 galleons.

Q1 | Unlocking the Magic

For nearly all of recent history the Ministry of Magic required pumpkin pasties to be made and purchased locally. The ministry got wind of some economics ideas around opening the domestic market to international trade and has hired you to offer advice on the impact this policy would have on the domestic pasty market. The world price for pumpkin pasties is 5 galleons.

Use a market model to analyze the impact. Give special focus to the welfare impacts on buyers and sellers. Do calculate the welfare measures, and the impact to prices and quantities.

- a) Imports or exports? *imports, exports*
- b) Quantity demanded: _____ Quantity supplied: _____ Imports: _____
- c) Consumer surplus before: _____ after: _____
- d) Producer surplus before: _____ after: _____
- e) Change in total surplus: _____
- f) Buyers: *gain, lose* Sellers: *gain, lose*

Q2 | An Alternative World

If instead of a price of 5 galleons in Question 1 the global price had been 9 what would have been the distributional impact of opening the domestic market for trade? No need to do math here. Simply use a graph to show the impact on the market.

- a) Imports or exports? *imports, exports*
- b) Buyers: *gain, lose* Sellers: *gain, lose*
- c) Total surplus: *rises, stays the same, falls*